

Course Home (/learn/analytics-excel/home/welcome) > Week 6 (/learn/analytics-excel/home/week/6) > Case Study: Modeling Credit Card ...

Review Classmates: Part 5: Modeling Credit Card Default Risk and Customer Profitability

Review by December 16, 11:59 PM PT

Reviews 2 left to complete

SUDHIR'S ESTIMATION OF UNCERTAINTY IN A CREDIT CARD APPLICATION

by sudhir samal
December 10, 2015

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What was the binary classification model you developed in Final Quiz Part 1, Question #1? Type your model in the box below.

(CREDIT DEBT+AUTOMOBILE DEBT)/INCOME >=3 ;(AGE+YEARS WITH EMPLOYER+YEARS IN SAME ADDRESS

Please refer to the Discussion for Peer Assessment document (<https://d396qusza40orc.cloudfront.net/phoenixassets/Jackie%27s%20folder/Discussion%20for%20Peer%20Assessment.pdf>) and the Peer Review Comments and Discussion (https://d396qusza40orc.cloudfront.net/phoenixassets/Jackie%27s%20folder/Final_Peer-Review-Discussion_10-30-2015.pdf) document during the review process.

Does the submitted model include at least 2 of the 6 pieces of data about the credit card applicants (age, years at current employer, years at current address, income over the past year, current credit card debt, and current automobile debt)?

2 pts
Yes

1 pt
No, the model only includes 1 of the pieces of data

0 pts
No model was provided, or the model includes none of the pieces of data

At the threshold score for the training set, what is the cost per event on the test set? Refer back to Final Project Quiz 1, question 6 for your answer.

Note: if you find that your costs per event on the test set are much higher than your costs per event on the training set, you should consider making your model simpler – probably using fewer input variables – as it is probably still over-fitting the training set data. Problems that are were not obvious at the ROC-curve stage may emerge when minimizing costs.

975

Is the minimum cost per event submitted by your peer an acceptable cost per event?

0 pts
Cost per event > \$1,250 (no incremental value)

1 pt
Cost per event > \$1,000 to <=\$1,250

2 pts
Cost per event >\$800 to <= \$1,000

3 pts
Cost per event \$600 to <=\$800

0 pts
Cost per event <\$600 (unrealistic to expect that any model could produce a cost per event this low)

Your boss asks you to recommend a standard procedure for selecting future credit card applicants. Based on internal data alone (*not using the Eggertopia scores*) and the test set performance of your two models (the binary classification model from Final Project Quiz 1 and the linear regression model from Final

Project Quiz 4), which method would you recommend - binary classification, linear regression or some combination or modification of the two? Explain why you recommended what you did, referencing at least two topics/points from the course.

COMBINATION OF BINARY CLASSIFICATION AND LINEAR REGRESSION.

REASON : THIS WILL HELP TO ESTIMATE ERRORS, UNCERTAINTY, COST PER EVENT AND PROFITABILITY,

Does the learner provide a clear recommendation for which model (or combinations of models) to use to select future credit card applicants?

- ☐ 2 pts
Yes, there is a clear recommendation
- ☒ 1 pt
There seems to be a vague recommendation, but it is not clearly or definitively stated
- ☐ 0 pts
No, there is no recommendation at all

No matter which model(s) is recommended, does the learner provide an explanation for their choice which references at least two topics/points from the course?

- ☐ 3 pts
Yes, the learner mentions at least two topics/points from the course, and includes the idea that the best model is the one with the lowest cost per event
- ☐ 2 pts
Yes, the learner explains and mentions at least two topics/points from the course, although does not explicitly mention that the best model is the one with the lowest cost per event
- ☒ 1 pt
No, the learner only references one topic/point from the course
- ☐ 0 pts
No, the learner provides no explanation or her/his explanation has no connection to the course materials

Submit Review

You must fill in all the fields above.

Comments

Visible to classmates



share your thoughts...



sudhir samal

5 days ago

Dear Juan, Thank you. I always write less to the point. But in this course , when I reviewed my classmates submission , i found that they have written at length with reasonable explanation. Since, I am doing few more courses from Coursera , at least 2-3 courses at a time , I shall take care of this in future.

My best regards,
Sudhir



Juan P. Anzola

5 days ago

You did get the Points, but in the third section your explanation was not very clear since you basically mention what it was good for. You might want to go deeper on that when you have time.



sudhir samal

5 days ago

Although the course was a mix of easy to tougher to toughest , and due to not having sufficient time in hand as I am full time employed and not having enough time to go through the course materials sufficiently, but I took a challenge to complete the course sufficiently in advance. The course has stimulated my mind power and outlook and intuition. The course has increased my skills on statistics applying excel functions and rejuvenated the power within me to pursue more course on data science.

 (/learn/analytics-excel/supplement/XlBjU/exact-answers-

/ (/learn/analytics-excel/supplement/szSvw/feedback-

(https://accounts.coursera.org/authorize?return_to=https://learner.coursera.help/hc)

survey)